Alsea S.A.B. de C.V.

Quartr-Enhanced Investment Analysis

BMV: ALSEA | MXN 46.2B (~USD 2.55B)

Restaurants | Mexico

Date: 1 April 2026

Synthesis

The Five Things an Investor Must Understand

First, Alsea is a platform, not a brand. It owns no intellectual property. Every peso of revenue derives from franchise agreements with American brand owners - Starbucks, Domino's, Burger King, Chipotle, Raising Cane's. The platform's value lies in operational execution, supply chain scale (80M dough balls/day), and exclusive territorial rights across 14 countries. This is both the moat and the existential risk: the franchise agreements are the single most valuable and most fragile asset on the balance sheet.

Second, IFRS 16 flatters this business enormously. The 21.4% EBITDA margin post-IFRS 16 collapses to ~14% pre-IFRS 16 - a 7-percentage-point gap that is among the widest in the restaurant sector. The MXN 16.9B in lease obligations (nearly 2x equity) means reported EBITDA bears almost no resemblance to cash generation. FY2025 produced MXN 18.1B in EBITDA but negative MXN 1.2B in free cash flow. FCF was negative in every single quarter. The CFO himself admitted: "We knew that we were failing at free cash flow generation."

Third, the 88.7% net income growth in FY2025 was largely an illusion. Non-cash FX gains on USD-denominated debt drove Q2 net income up 553% and Q3 up 559%. Management confirmed this "will no longer affect the P&L going forward" after refinancing. When this tailwind disappears, reported earnings will look materially worse - and investors who bought the headline will be disappointed.

Fourth, the new management team is credibly better than its predecessors. Christian Gurria

(CEO since July 2025) is a 34-year Alsea veteran who turned around Starbucks France. Federico Rodriguez (CFO since March 2024) is unusually candid for a LatAm executive - openly admitting FCF failures and acknowledging investor pushback. The portfolio rationalization (divesting TGI Fridays, P.F. Chang's, Burger King Spain; adding Chipotle and Raising Cane's) is strategically sound. But the proof is in delivery, and one year is not enough to validate a turnaround thesis.

Fifth, this is a leveraged bet on LatAm consumer spending. Total liabilities of MXN 71.9B against equity of MXN 8.8B (8:1 ratio), sub-investment-grade credit (BB+), and operations across Mexico, Spain, France, Argentina, Chile, and Colombia mean the stock amplifies both upside (GDP growth, formalization of foodservice) and downside (recession, peso devaluation, political risk). COVID sent shares down 75%. The September 2025 demand drop forced a mid-year guidance cut. This is not a compounder; it is a cyclical with structural growth characteristics.

Tensions and Contradictions

The agents surfaced several genuine contradictions:

- **Growth ambition vs. cash reality.** Management identifies 3,400 potential new stores and guides for 180-220 openings annually, yet the business cannot generate positive free cash flow. The MXN 1.5B buyback and MXN 429M dividend are effectively debt-funded. The Investment Checklist agent scored FCF generation as a clear NO.
- **Narrative control vs. analyst skepticism.** The Earnings Call Deep Dive reveals management progressively reframing the 169 store openings (vs. 200+ target) from a miss to a deliberate strategic choice. Goldman Sachs, Morgan Stanley, and Bank of America analysts repeatedly pushed back on FCF, lease cost escalation, and Burger King's persistent negative SSS - questions management deflected rather than resolved.
- **Cultural strengths vs. structural governance risks.** The Corporate Culture analysis highlights genuine achievements (turnover from 82 to 54, 84% internal promotion) alongside the Torrado family's 37% stake and the new CEO reporting to the former CEO as Chairman. The COVID layoffs (16,000+ positions) revealed that "people-first" rhetoric has limits when capital preservation is at stake.

What Primary Sources Revealed That Web Research Would Have Missed

The earnings call transcripts were invaluable for three insights no secondary source captured:

1. **Rodriguez's FCF confession** - "We knew that we were failing at free cash flow generation. We have heard around the pushback you have launched to the management" - confirmed this is a multi-year structural issue, not a one-quarter blip. No news article reported this admission.
2. **The September 2025 shock was worse than reported.** Rodriguez called it a "terrible September" - language that stands out against the polished prepared remarks. The weakness continued into October ("we see a similar trend"), a detail the Q3 earnings release did not emphasize.
3. **Burger King has no turnaround plan.** Across four consecutive calls, SSS was -7.8%, -6.8%, -1.7%, -4.8%. Management's language never progressed beyond "we see a more flat trend." An analyst directly asked about Burger King divestiture (as was done in Spain); Rodriguez deflected. The transcripts reveal this is a dead brand walking in Alsea's portfolio.

The strategic documents analysis revealed that the messaging arc from 2023 to 2026 traces "recovery -> growth ambition -> disciplined compounding" - a polished narrative that front-loads optimism. The conspicuous absence of any serious European strategy discussion in the 2026 Investor Day suggests

Spain and France are being quietly de-emphasized without an explicit exit or restructuring announcement.

Key Debates and Open Questions

1. **When does FCF turn positive?** Management targets 18.3% FCF conversion. At MXN ~19B EBITDA (2026E), that implies ~MXN 3.5B FCF - a massive swing from negative MXN 1.2B. What specific changes make this credible?
2. **What happens to Burger King?** With negative SSS for 4+ consecutive quarters and management clearly out of ideas, is divestiture the rational outcome? What is BK Mexico worth?
3. **Starbucks license renewal (2035).** Nine years away, but this single contract underpins ~42% of revenue. What are the renewal terms? Has Starbucks corporate signaled any changes to its franchisee strategy that could affect Alsea?
4. **The MXN 3.9B SAT tax dispute.** This represents 44% of total equity. Management expresses confidence, but a loss would be existential. What is the current litigation status?
5. **Can Chipotle and Raising Cane's work in Mexico?** The 600-store aspiration is purely theoretical. The first stores don't open until late 2026. Unit economics in Mexico's price-sensitive market are unproven.

Overall Quality Assessment

Alsea is a competent operator at a fair price, but it is not a high-quality business. The checklist scored 4 YES, 4 PARTIALLY, 4 NO - a mixed-to-weak result. The franchise platform model is understandable and the management transition is promising, but the structural negatives are serious: negative FCF, aggressive leverage, IFRS 16 distortion, franchise dependency, and multi-geography EM complexity. At ~5x EV/EBITDA, the market correctly prices this as a leveraged franchise operator, not a compounder.

The stock could work as a cyclical trade if LatAm macro cooperates and FCF inflects positive. But for a concentrated quality portfolio, too many criteria fail. Watch the FCF conversion metric in 2026 - if it materializes, the thesis changes materially.

Recommended Next Research

1. Read the **Investor Day 2026 transcript** (Quartr doc 3107616) in full - the Q&A section on FCF and Burger King is where the real information lives
2. Read the **Q4 2023 annual report** (doc 336032) for the SAT tax dispute detail and risk factors
3. Track **Q1 2026 results** (expected April 29, 2026) for the first data point on whether 2026 FCF guidance is credible
4. Compare **Investor Day 2024** (doc 336902) to **Investor Day 2026** (doc 3111584) slides side-by-side to see which targets were hit and which quietly disappeared

1. Business History

From a Single Pizza Store to Latin America's Largest Restaurant Platform

Alsea traces its origins to 1990, when brothers Cosme, Alberto, and Armando Torrado opened the first Domino's Pizza in a Mexico City suburb through their entity Torquin. The Torrados had secured the master franchise rights for Domino's in Mexico - a bet on the unproven proposition that standardized American QSR formats could scale in a market then dominated by independent taco stands, fondas, and family-run restaurants. The model was straightforward: operate the stores directly (not sub-franchise them), control the supply chain, and replicate relentlessly. By 1994, the Domino's system had reached 100 stores in Mexico, powered by centralized dough production and a logistics network that the Torrados built from scratch.

In 1997, the family formalized Alsea as a holding company to house the growing operation, and on June 25, 1999, listed it on the Mexican Stock Exchange (BMV: ALSEA). The IPO provided the capital to pursue the multi-brand strategy that would define the company's next quarter-century.

Building the Multi-Brand Platform (2002-2006). The first decisive pivot came in 2002, when Alsea signed a strategic alliance with Starbucks Coffee International and opened Mexico's first Starbucks on Paseo de la Reforma. That same year, Alsea acquired 97 company-owned Burger King restaurants in Mexico and secured exclusive 20-year development rights for the brand. In a single year, Alsea went from a pizza company to a three-brand operator spanning QSR, coffee, and fast food. Chili's Grill & Bar followed in 2005, marking Alsea's entry into casual dining. Then in 2006, the company made its first international move by acquiring Burger King operations in Argentina and Chile, planting a flag in South America.

The Transformational Decade: Vips, Europe, and the Debt Gamble (2013-2019). Two acquisitions fundamentally altered Alsea's scale and risk profile. In September 2013, the company purchased 362 Vips, El Porton, Ragazzi, and La Finca restaurants from Walmart de Mexico for approximately MXN 8.2 billion (~USD 626 million). In one stroke, Alsea became Mexico's dominant family dining operator. It also consolidated full ownership of its Starbucks operations in Mexico, Argentina, and Chile that same year.

The European chapter began in 2014, when Alsea acquired a 71.76% stake in Spain's Grupo Zena for EUR 107 million. Zena brought 427 restaurants across multiple brands: 195 Foster's Hollywood outlets, 127 Domino's Pizza locations, 60 Burger King units. In December 2018, Alsea completed its largest-ever transaction: the acquisition of 100% of Grupo Vips in Spain for EUR 575 million (13.2x adjusted EBITDA). This deal brought Starbucks operations in Spain, the VIPS restaurant chain, and expanded Alsea's European unit count to over 1,300 stores. In 2019, Alsea separately acquired Starbucks operating rights in France and the Benelux region.

The European push was bold but loaded the balance sheet. By 2020, when COVID-19 shuttered dining rooms worldwide, Alsea's leverage ratio had climbed above 4.5x gross debt-to-EBITDA. The pandemic forced the closure of roughly 240 underperforming units across 2020-2021, a painful but ultimately clarifying exercise in portfolio discipline.

Leadership Succession and Recovery (2021-2025). Alberto Torrado stepped back from the CEO role in early 2022. Fernando Somoza lasted roughly 18 months before Armando Torrado Martinez - Alberto's brother, a 33-year Alsea veteran who had started working at Domino's stores at age 19 - was appointed CEO in July 2022. Under Armando, Alsea focused on deleveraging, concentrating capital expenditure on the highest-return brands, and building shared digital infrastructure.

In January 2025, Christian Gurria Dubernard was announced as CEO effective July 1, 2025. A 25-year Alsea veteran who began as a Domino's store operator in 1991, Gurria led the deployment of

Starbucks in Mexico from 2002 and later replicated the model in France and Benelux. His appointment signaled continuity of the franchise operator DNA while putting a Starbucks growth architect at the helm.

Portfolio Rationalization and New Brand Bets (2025-2026). Under Gurria, Alsea moved decisively to prune underperforming casual dining brands. In November 2025, the company sold Chili's and P.F. Chang's in Chile and TGI Friday's in Spain. Simultaneously, Alsea added Chipotle (development agreement April 2025, first Mexico locations planned H2 2026) and Raising Cane's (announced December 2025). At Alsea Day on March 18, 2026, CEO Gurria identified potential for over 3,000 additional stores across existing geographies.

The Cultural Constant. Through three decades, four CEOs, and expansion from one brand in one country to a dozen brands across 14 nations, one thread has remained: Alsea promotes from within the Domino's system. Alberto Torrado started with Domino's. Armando started in stores at 19. Gurria started as a Domino's operator in 1991. The company's DNA is that of a franchise operator - not a brand creator, not a financial holding company, but a team that knows how to take a proven American concept and execute it at scale in fragmented, operationally challenging markets.

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2. Management & Incentives

Christian Gurria Dubernard - CEO (since July 2025). Born 1971. Started at Alsea in 1991 as a Domino's Pizza store operator. Over 34 years he rose through Regional Director of Domino's, Director of Casual Dining Mexico, Director of Starbucks Mexico, and Director of Starbucks France and Benelux. In his French role, he took a struggling operation, reoriented it toward local consumers (85% non-tourists), introduced locally sourced food, rebuilt brand health scores by 30 points, and cracked a replicable model for Tier 2/3 French cities. He is not a Torrado family member - this is the first non-family CEO in Alsea's history.

Federico Rodriguez Rovira - CFO (since March 2024). Industrial engineer from ITAM. 17+ years at Alsea in financial planning and supply chain. Served as Director of Finance at Alsea Europe for seven years. On earnings calls, Rodriguez is notably candid - he openly acknowledged to Goldman Sachs on the Q4 2025 call that management had been "failing at free cash flow generation" and had "heard the pushback" from investors. That kind of frankness from a CFO is unusual for a LatAm company.

Insider Ownership. The Torrado family collectively holds approximately 37% of outstanding shares: Cosme Torrado Martinez at ~24.6% (largest individual holder), Armando Torrado Martinez at ~12.4% (now Board Chairman). The remaining float splits between retail investors (~46%) and institutional holders (Norges Bank 4.97%, BlackRock 3.73%, Vanguard 2.57%). The family stake is large enough to align interests with outside shareholders on value creation, but also large enough to entrench family preferences.

Compensation. Alsea provides limited granular disclosure on executive compensation. Store managers can earn more than 12 months of base salary in variable compensation if they hit financial targets - Armando Torrado confirmed managers can "probably double their salaries." Executive incentives are tied to EBITDA, free cash flow, and shareholder value. However, specific LTIP structures, stock option grants, and equity vesting schedules are not publicly disclosed in the manner a US company would. The lack of transparency is standard for Mexican-listed companies but makes it difficult to assess whether C-suite pay is genuinely performance-linked or whether there are hidden perks flowing to the family.

Board Composition. The board has approximately 11-13 members with a majority of independent directors. Armando Torrado serves as Chairman. The presence of Christine Kenna (IGNIA Venture Capital, Harvard background) and Gabriela Garza adds non-restaurant perspectives. However, the new CEO reports to his former boss (Armando), who is also a major shareholder - a governance concern.

Capital Allocation. Improving under Gurria/Rodriguez. Portfolio pruning is strategically sound. The MXN 1.5B buyback and modest dividends show intent to return capital. But paying dividends and buybacks (MXN 795M combined) while generating negative FCF means shareholder returns are effectively debt-funded. The shift from "conquer the world regarding openings" (Rodriguez's words) to quality-over-quantity is the right call, but FCF conversion needs to materially improve.

Does Management Deliver? FY2025 results finished "broadly in line" with revised guidance - but guidance was cut mid-year after a weak September. Store openings (169 vs. 200+) were reframed as deliberate discipline. Turnover reduction from 82 to 54 is a concrete, measurable result. The Gurria/Rodriguez team is more operationally focused and more candid about weaknesses than predecessors, but still needs 2-3 years to prove out.

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3. Competitive Landscape

Industry Structure. Mexico's broader foodservice market is large (~USD 96B in 2025) but fragmented - the top five operators hold only 3.14% combined. Alsea claims the number-one position in delivery pizza and coffeehouse categories in Mexico.

Key Competitors by Geography:

- **Mexico:** Arcos Dorados (McDonald's master franchisee, 2,500+ units), Little Caesars (aggressive value-priced pizza), Yum! Brands (KFC, Pizza Hut), CMR/Grupo Gigante in casual dining
- **Europe:** AmRest Holdings (~2,300 units across Central/Eastern Europe and Iberia, operating KFC, Burger King, Pizza Hut, Starbucks, La Tagliatella; trailing revenue ~USD 2.85B)
- **South America:** Arcos Dorados dominates LatAm QSR; fragmented independents

Sources of Competitive Advantage. Master franchise exclusivity (35 years of contract stability), multi-brand platform economics (centralized supply chain producing 80M+ dough balls/day, 130+ products manufactured in-house), scale and real estate access (4,820+ units, ~475 commercial center locations as preferred tenant), and digital/loyalty infrastructure (39.6% digital sales, 8M+ loyalty users generating 2.0-2.5x higher revenue).

Durability Assessment. These advantages are moderately durable but not impregnable. Master franchise contracts are ultimately at the discretion of brand owners - royalty escalation is a real risk (Arcos Dorados' new McDonald's contract raised royalties from ~5% to 6%). Scale advantages erode in lower-density markets.

Pricing Power. Moderate. Portfolio spans QSR (MXN 129-149 price points) through premium casual (Cheesecake Factory, P.F. Chang's). Chipotle's planned Mexico launch at MXN 150-200 is deliberately value-engineered. Revenue management analytics contribute an estimated 1.0-1.5% annual EBITDA improvement. However, in QSR categories, pricing follows the market.

Disruptive Threats. Dark kitchens have not proved existential - Alsea has absorbed the delivery trend (+44% delivery growth 2020-2024). Aggregators (Rappi, Uber Eats) expand demand but extract commissions. Little Caesars' value pricing and local independent coffee shops pressure margins. GLP-1 drugs have not yet materially impacted LatAm or European demand.

Value Chain Position. As a master franchisee, Alsea captures value by localizing execution, providing infrastructure brand owners cannot replicate at distance, and sub-franchising. The trade-off is perpetual royalty obligations (typically 5-6% of sales) and existential dependency on contract renewal.

4. Financial Characteristics

Revenue Model and Segment Mix

Alsea operates across three verticals: Quick-Service Restaurants (Domino's Pizza, Burger King), Coffee (Starbucks, ~42% of revenue), and Full-Service/Casual Dining (Chili's, Vips, The Cheesecake Factory). FY2025 consolidated revenue reached MXN 84.7B (+8.2%). Geographically: Mexico ~54%, Europe ~30%, South America ~16%. Digital channels represent 39.6% of total revenue. Revenue growth decelerated sharply through the year: Q1 +12.8%, Q2 +14.2%, Q3 +5.7%, Q4 +0.5%.

Margin Architecture

Metric	FY2025	Note
Gross margin	67.6%	Food cost ~32.4% (labor/occupancy in SG&A)
EBITDA margin	21.4%	Includes lease D&A add-back
EBITDA margin	~14%	More comparable to peers
Operating mar	9.9%	After MXN 9.7B of D&A
Net margin	2.6%	Crushed by interest, FX, and 37.2% tax rate

The pre-IFRS 16 EBITDA margin of ~14% is modestly above Arcos Dorados' 12.3% but far below asset-light franchise models like Yum! Brands (30%+).

Returns on Capital

- **ROE:** 25.5% - flattering due to thin equity base (8:1 leverage)
- **ROIC (financial debt):** 24.5% - NOPAT of MXN 5,278M on invested capital of MXN 21,499M
- **ROIC (lease-inclusive):** 13.7% - the more honest number, with invested capital of MXN 38,404M

Cash Conversion

Despite MXN 18.1B in EBITDA, **FCF was negative MXN 1.2B.** The bridge: lease payments (~MXN 10-11B), CapEx (-MXN 5.5B), cash interest (-MXN 1.3B), cash taxes (-MXN 1.4B). The 18.3% FCF conversion ratio cited at Investor Day is structurally weak. Lease payments consume over half of EBITDA. Quarterly FCF was negative in every quarter of FY2025.

Balance Sheet

- Net Debt/EBITDA: 2.5x (post-IFRS 16); was 3.1x in Q1 2025
- Total debt including leases: MXN 52.2B against MXN 8.8B equity = 5.9x debt-to-equity (lease-inclusive)
- 74% of financial debt long-term; 67% MXN, 33% EUR
- January 2026 refinancing improved maturity profile to 4.6-year average
- Book value/share: MXN 10.92 vs. market price MXN 53.87 (4.9x P/B)

What's Distinctive

Alsea occupies a rare niche: a multi-brand, multi-geography, company-operated restaurant platform in emerging markets. The IFRS 16 distortion is extreme. The multi-brand model creates diversification but complexity. The geographic spread introduces three distinct currency/regulatory regimes. Most critically, this is a business that generates real economic value (ROIC ~14% exceeds WACC) but converts poorly to cash. The 88.7% net income growth coexists with negative FCF - a disconnect that will persist as long as unit growth is prioritized over cash harvest.

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5. Red Flags

Accounting: The Numbers Are Flattering Themselves

IFRS 16 is doing heavy lifting. The 7pp gap between post- and pre-IFRS 16 EBITDA margin is among the widest in restaurant operators. This is not fraud, but it is a presentation choice that systematically flatters profitability.

Non-cash FX gains inflated net income. The 88.7% net income surge was largely an illusion. The CFO admitted: "This impact is nonrecurring... this revaluation will no longer affect the P&L going forward." When it disappears, reported earnings will look materially worse.

The EBITDA-to-FCF conversion is broken. MXN 18B in EBITDA, negative MXN 1.2B in FCF. FCF negative every quarter. Where did MXN 19+ billion vanish? Lease payments, CapEx, interest, the EUR 40M minority stake payment, and working capital consumption.

Governance: The Torrado Family Empire

The Torrado family controls ~37% of equity. Armando Torrado serves as Chairman; Cosme holds ~24.6%. The EUR 40M payment to European minority shareholders deserves scrutiny. The company faces an unresolved **MXN 3.88B tax dispute** with the SAT related to the 2014 Vips acquisition - a loss would represent 44% of total equity.

Operational Risks

Starbucks concentration is dangerous. ~1,946 locations and the dominant revenue contributor. License runs until 2035. If Starbucks changes strategic direction, Alsea's entire business model collapses. France boycotts already damaged performance.

Multi-geography complexity. 11+ brands across Mexico, Spain, France, Benelux, Argentina, Chile, Colombia, and more. September demand drop, France boycott, Argentina treasury losses, Jalisco security closures - compounding risks.

Strategic Risks

Every acquisition increases complexity, adds debt, and stretches management bandwidth - all while the core business cannot generate positive FCF. The FY2025 target was 200+ stores; they delivered 169, blaming "quality focus." When a company misses its own targets while announcing even more ambitious pipelines (3,400 stores), that is a credibility gap.

Bear Case

Alsea is a highly leveraged, cash-flow-negative franchise operator whose reported profitability is inflated by IFRS 16 and non-recurring FX gains. If Mexico enters recession, three things happen simultaneously: (1) EBITDA contracts on lower traffic, (2) interest expense surges on currency-exposed debt, (3) FX gains reverse into losses. Net debt/EBITDA blows through 3.5x, lenders tighten covenants, and the company faces a refinancing crisis. Add the MXN 3.9B SAT liability and South America's EBITDA deterioration, and equity holders face severe dilution. The stock trades at ~MXN 46B - just over 1x pre-IFRS 16 debt.

Questions for Management

1. When does Alsea expect sustained positive FCF? What specific CapEx and lease-payment levels should investors underwrite?
2. Will management report pre-IFRS 16 EBITDA with equal prominence?
3. What is the SAT dispute status? Has the company provisioned for adverse outcome?
4. What are the Starbucks 2035 license renewal terms?
5. Can management provide a complete list of Torrado family related-party transactions?
6. Why did lease payments surge 26% YoY in Q3 vs. high-single-digit revenue growth?
7. What is the concrete turnaround plan for Burger King Mexico?

6. Investment Checklist

#	Criterion	Verdict	Assessment
1	Understandable	**YES**	Master franchisee operating well-k
2	Durable competi	**PARTIALLY	Exclusive franchise agreements, op
3	Long reinvestme	**PARTIALLY	3,400 additional stores identified
4	High returns on	**NO**	ROE of 25.5% is leverage-flattered
5	Strong FCF gene	**NO**	The most glaring red flag. FY2025
6	Conservative ba	**NO**	Total liabilities MXN 71.9B agains
7	Aligned managem	**YES**	Insiders own ~39%. MXN 17B insider
8	Rational capita	**PARTIALLY	Portfolio pruning and quality-over
9	Favourable indu	**PARTIALLY	LatAm QSR/casual dining has secula
10	Reasonable valu	**YES**	At ~5x EV/EBITDA and ~15x forward
11	Recession resil	**NO**	COVID sent shares down 75%. High f
12	Transparent com	**YES**	Quarterly calls with detailed segm

Overall: 4 YES, 4 PARTIALLY, 4 NO - a mixed-to-weak result for a quality-focused framework.

7. Learning Resources

Podcasts & Audio

- **"Alsea (Ticker: ALSEA) with Ian Bezek"** - Chit Chat Stocks. Dedicated deep-dive on Alsea's business model, margin profile, and capital allocation. Spotify
- **"Should You Buy Mexican Stocks?"** - Chit Chat Stocks / Ian Bezek. Broader episode covering Mexican investment landscape with Alsea as a key pick. Spotify
- **Chit Chat Stocks companion: "Alsea Group: Making the Plunge"** - Detailed write-up accompanying the podcast. Substack
- **Alsea earnings call audio** - All quarters available on Quartr. Quartr

YouTube & Video

- **Alsea Investor Day 2026** - Most recent Investor Day with Chipotle/Raising Cane's strategy. Quartr
- **Alsea Day 2023** - Brand-by-brand operational reviews and European playbook. Quartr
- **Infobae profile: Alberto Torrado Martinez** - The founder who started a fortune selling pizzas. Infobae

Books

- **"Mexican Multinationals" Ch. 16** - Academic treatment of Alsea as a case study in Mexican firms becoming multinational restaurant operators. Cambridge University Press
- **"Alsea: A New CEO Comes on Board"** (Ivey Case 9B17M112) - Business school case covering the 2016 CEO transition. The Case Centre

Long-Form Articles

- **"After Meteoric Growth, ALSEA Seeks its Future in the Southern Cone"** - Knowledge@Wharton. Wharton
- **"It's Time To Buy Alsea Again"** - Ian Bezek. Investment deep dive on valuation and unit economics. Substack
- **Torrado Family Profile** - Citi Private Bank. Citi
- **Chipotle Development Agreement** - Primary source on the Mexico launch. Chipotle Newsroom

Suggested Learning Path

Start with the Citi Private Bank Torrado family profile, then the Wharton article. Listen to the Chit Chat Stocks episode, then read Ian Bezek's investment deep dive. Then go to Quartr's Alsea page and work through the Investor Day 2026 and Q4 2025 earnings call.

8. Corporate Culture

Founder Imprint. Alberto Torrado's imprint is that of a dealmaker-operator: a Catholic, family-values-driven entrepreneur who built LatAm's largest restaurant platform through aggressive franchise acquisition. His defining contributions are meritocratic rhetoric ("family members earn positions by rising through the ranks"), willingness to admit mistakes publicly ("Brazil was a real mistake"), and a relentless expansion mindset. The imprint persists under Gurria - a lifer who embodies the promote-from-within culture - but is being diluted by design as the family cedes operational control to professional management.

Decision-Making. Hybrid model: centralized strategic control from Mexico City with decentralized brand-level execution. Glassdoor reviewers cite "slow decision-making processes" and "bureaucratic corporate structure" - predictable friction in a 14-brand, 10-country matrix. Brand CEOs have meaningful P&L authority, but capital allocation stays at the holdco level.

Talent and Retention. The strongest cultural data point. Employee turnover dropped from 82% to 54% (2019 to present) - dramatic in an industry where 100%+ is common. 84% of store management filled through internal promotion. Glassdoor: 3.9/5.0 overall, 4.1/5.0 for culture and values, 78% recommendation rate. Recurring negatives: below-market salaries and heavy workloads.

COVID Stain. In March 2020, Alsea cut ~16,000 positions (20% of workforce) and offered remaining employees 30 days unpaid leave. This triggered significant public backlash. The workforce has recovered, but the memory lingers.

Innovation. Alsea has invested in digital transformation (24M active digital users, AI in recruitment and supply chain). But the culture is "fast follower" not "pioneer" - franchisors drive product innovation; Alsea contributes operational technology.

Integrity. No major fraud or regulatory penalties. The governance risk is structural: concentrated family ownership in a country with weak insider-trading enforcement.

Bottom Line. Alsea's culture is a net positive investment factor. The turnover improvement is real, succession planning is unusually disciplined for a Mexican family-controlled firm, and the operational DNA is strong. The primary risks are incomplete separation of family control, the memory of COVID-era labor decisions, and inherent complexity of the multi-brand, multi-geography matrix. Best described as "operationally excellent, financially disciplined, people-aware but not people-first."

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9. Earnings Call Deep Dive

Narrative Evolution

The arc across four calls traces a new-CEO honeymoon colliding with macroeconomic reality. In **Q1** (April 2025), outgoing CEO Armando Torrado ran a victory lap - announcing Chipotle, boasting "positive figures in transactions," describing himself as "very positive about April." Rodriguez stated: "I am truly not worried."

Q2 (July 2025) was Gurria's debut. He leaned into operator credibility: "a journey that began as a manager in the Domino's Pizza store in Cuernavaca." The tone was still upbeat, but Burger King Mexico SSS at -6.8% and "quality over quantity" language were already hedging.

Q3 (October 2025) was the inflection point. Gurria acknowledged a "really weird quarter" - good July, "strange August," and a "terrible September." Guidance was formally cut. The narrative pivoted to damage control: September's weakness was "macroeconomical," not competitive.

By **Q4** (February 2026), the narrative was rewritten as redemption. Gurria described 2025 as a year where "despite a challenging start, we responded with targeted operational and portfolio initiatives." France was quietly downgraded to "less than 2% of total revenues" - a framing not used before. The 169 stores were retrospectively described as "deliberate."

Guidance and Delivery

Metric	Original Guidan	Revised (Q3	FY2025 Actual
Top-line growth	Low teens	High single	~0.5% reported (12% ex-FX)
EBITDA growth	Mid single digi	Low single	+2.9% Q4
Store openings	200+	~200	169
Leverage	~2.8x	-	2.5x net

Analyst Concerns

Free cash flow was the dominant pressure point. Goldman Sachs pushed hard in Q4: "Where is the mess coming from?" Morgan Stanley zeroed in on lease expenses jumping from 6.3% to 7.4% of sales. **Burger King Mexico** was raised every quarter with SSS of -7.8%, -6.8%, -1.7%, -4.8% - management never offered a concrete turnaround plan. **Net income quality** was questioned implicitly - the FX-driven surges were flagged by management itself as "nonrecurring."

Key Reveals

1. **Rodriguez on FCF (Q4):** "Obviously, we knew that we were failing at free cash flow generation. We have heard around the pushback you have launched to the management, to the administration during the last years."
2. **Rodriguez on September (Q3):** "We had a really weird quarter. We have a good July and a strange August with one strongest week and a terrible September."
3. **Rodriguez on net income (Q4):** "This impact is nonrecurring. Following the refinancing... this revaluation will no longer affect the P&L going forward."
4. **Gurria on Burger King (Q2):** "In the case of Burger King, as we mentioned before, we continue seeing a not clear recovery... But we see a more flat trend as we move forward."
5. **Rodriguez on store openings (Q4):** "We do not want to conquer the world regarding openings. We want to have a more rationalized CapEx for the future."

Q&A Dynamics

Thiago Bortoluci (Goldman Sachs) was the most persistent questioner - always pushing on the EBITDA-to-cash gap. **Julia Rizzo (Morgan Stanley)** asked the most technically precise questions (lease cash flow impact, effective interest rates). **Bob Ford (Bank of America)** asked the sharpest brand-specific questions (Burger King MFA renegotiation, Raising Cane's economics). Rodriguez was consistently more forthcoming than Gurria - the dynamic between Rodriguez as realist and Gurria as optimist was a recurring feature of every Q&A.

10. Strategic Documents Analysis

Strategic Priorities: The Four-Pillar Framework

By March 2026, Alsea's strategy crystallized into four pillars: **Care, Build, Growth, Capitalize.** This evolved from a post-pandemic recovery narrative (2023) through forward-looking expansion (2024) to "disciplined compounding" (2026). The ordering matters: care first signals management wants to pre-empt concerns that growth comes at execution's expense.
The addition of Chipotle and Raising Cane's (up to 600 stores, MXN 1.4B revenue target) marks the most concrete new-brand commitment in recent history - strategically significant but operationally risky given the execution complexity of onboarding two new systems simultaneously.

Capital Allocation Framework

CapEx of MXN 5.5B (65% new units/remodels, 20% maintenance, 15% IT/digital), plus MXN 1.5B buyback. The 2:1 remodel-to-new-opening ratio suggests management recognizes the existing store base has aged and that refreshing assets (5-15% sales uplift, 20-25% payback) is more capital-efficient than greenfield. The rhetoric is clearly **organic growth first, shareholder returns second, and conspicuously silent on M&A** - a departure from the acquisition-heavy 2018-2020 era.
However, the MXN 1.5B buyback is roughly 1-2% of market cap - a signal of intent more than transformative capital return.

Long-Term Targets

2026 guidance: Revenue +5-7%, SSS +4-6%, EBITDA +6-8%, 180-220 new units. Domino's 2,000 stores by 2030. Starbucks doubling footprint, MXN 35B sales by 2026, MXN 5B EBITDA by 2027. These are ambitious but not implausible given Mexico's QSR under-penetration. The question is execution bandwidth: opening 180-220 units while onboarding two new brands, maintaining a 2:1 remodel ratio, and hitting SSS targets is a lot of plates spinning.

Narrative vs. Reality

Aligned: Remodel emphasis is backed by capital. Deleveraging trajectory matches post-acquisition digestion. Digital/IT allocation (15% CapEx) reflects structural delivery shift.
Divergent: Chipotle/Raising Cane's 600-store aspiration has no near-term proof points. Mexico has mixed results with imported US fast-casual.
Conspicuously absent: Limited discussion of European operations - the 2026 framing pivots decisively toward Latin America without explicitly addressing Spain/France's future. Also absent: serious discussion of labor cost inflation, a structural headwind in Mexico's formal employment sector.

Risk Acknowledgement

Risk disclosure appears conventional rather than candid. What is likely underweighted: (a) execution risk of simultaneously scaling two new brands, (b) Starbucks dependency, (c) US tariff/trade policy impacts on Mexican consumer confidence, (d) Domino's maturation risk as density increases.

Analysis generated 1 April 2026 using Quartr data, earnings call transcripts, strategic documents, and web research.